the energy deficit decreased from 9.6 per cent in the terminal year of the Tenth Plan (2006-7) to 7.9 per cent during April-December 2011, peak deficit declined from 13.8 per cent in 2006-7 to 10.6 per cent during the current financial year (up to December 2011). *Capacity addition* during the Eleventh Plan is, therefore, expected to be about 50,000 to 52,000 MW.

Ultra Mega Power Projects (UMPPs) Initiative for development of coal-based super critical UMPPs, each of about 4000 MW capacity, under Case II bidding route. *National Grid* helps to even out supply-demand mismatches. The existing inter-regional transmission capacity of 23,800 MW connects the northern, western, eastern, and north-eastern regions in a synchronous mode operating at the same frequency and the southern region asynchronously operating in the same mode. This has enabled inter-regional energy exchanges of about 39,275 million units (MUs) during April-November 2011, thus contributing to better utilisation of generation capacity and an improved power supply position. Proposals are under way for synchronous integration of the southern region with other regions.

Competition in the electricity sector has been augmented by having an ***open access*** system allowing a buyer to choose his supplier and a seller to choose his buyer. Open access at inter-state transmission level is now fully functional. The facilitative framework created by the Central Electricity Regulatory Commission (CERC) in this regard has provided the desired regulatory certainty for developers in terms of market access, and also payment security against default.*Central Transmission Utility (CTU)* which is responsible for granting connectivity, medium-term open access, and long-term access, has received 141 applications for connectivity involving generation capacity of 1,52,850 MW.

Trading of Electricity is enabled through electricity traders and power exchanges. Power trading helps generation resource optimisation by facilitating trade and flow of power across the country with varied geography, climatic conditions, and natural resource endowments. It has helped in sale of surplus power available with distributing utilities and captive power plants on one hand and purchase of power by deficit utilities to meet sudden surges in demand. Short-term markets also provide generators with an alternative to sell power other than through long-term